

JD.COM, INC.

(NASDAQ / HK: 9618: JD)

A Fortress Balance Sheet Priced for Ruin — China's Best Retailer for Free

BUY — \$55.00 Target

Equity Research Note · Consumer Discretionary — Internet Retail · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$55.00	\$25.78	+113.3%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$32.2 bn (1.248 bn ADSs × \$25.78)	Ex-cash P/E	~4.0x on TTM earnings
Net financial assets	~\$35.8 bn — exceeds market cap	Dividend (FY2025)	\$1.00 / ADS (~3.9% yield)
Implied operating EV	Negative (~-\$3.6 bn)	52-week range	~\$24.51 – \$36.86
TTM revenue	RMB 1,313.5 bn (~\$182 bn)	Buybacks 2025	\$3.0 bn (6.3% of shares) + \$1.4 bn dividend
TTM non-GAAP EPS	\$2.57 / ADS (P/E 10.0x)	Next catalyst	Q3 2026 earnings (Nov 12) + 11.11 festival

1 Investment Thesis

JD.com is China's most logistics-moated retailer: a direct-sales (1P) e-commerce business built on a proprietary nationwide fulfillment network that delivers same-day and next-day at a scale no competitor has replicated. The investment case is straightforward and, in our judgment, underappreciated: JD's moat is physical — warehouses, delivery stations, and a supply chain that took two decades and enormous capital to build — and physical moats do not erode the way digital ones do. At \$25.78 the shares trade as though Chinese consumption is in permanent decline and JD is a melting legacy retailer. We see a business generating prodigious operating cash flow, returning capital through buybacks, and priced at a multiple that assumes the bear case on China as the permanent state of the world.

Our judgment on the forward trajectory centers on two underappreciated drivers. First, JD's supply-chain capability is being extended into new categories of demand — instant retail and on-demand delivery, where JD's fulfillment density is a genuine structural advantage over marketplace-only competitors. The economics of delivering in under an hour favor the operator that already has inventory positioned within kilometers of the customer; that is JD. Second, the 1P model gives JD a quality and authenticity guarantee that matters more, not less, as Chinese consumers become more discerning — counterfeit and quality concerns structurally favor the retailer that takes title to the goods it sells. These are durable advantages compounding quietly while the market debates macro headlines.

We price the China risk explicitly rather than embedding it in pessimism: a 250bp country-risk premium in the discount rate, regional peer benchmarking, and a bear case at \$35.50 that assumes a prolonged consumption downturn and continued competitive intensity. Even so, the probability-weighted math supports a \$57.50 fair value, and our \$55.00 target — a modest haircut for the wide outcome range in Chinese equities — still implies +113% upside from \$25.78. The base case (\$50.67) requires nothing heroic: mid-single-digit revenue growth, stable 1P margins, and continued capital returns. The bull case (\$93.16) assumes consumption normalization plus successful scaling of instant retail. This is a bet that China's largest quality retailer, bought at a distressed multiple with the sovereign risk transparently priced, compounds through the cycle.

The starkest framing: at \$25.78, JD's \$32.2 billion market cap is worth less than its \$35.8 billion of net financial assets — cash, short-term investments and investment securities less debt, per its own June 30, 2026 balance sheet. The implied enterprise value of the entire operating business — RMB 1.3 trillion of revenue, record retail operating margins, a logistics arm growing 24–26% — is negative. The market is not pricing in slow growth; it is pricing in permanent value destruction. Any outcome better than 'burn forever' is upside, and the burn is already inflecting: the food-delivery loss was cut by more than half in Q2 2026 as the subsidy war de-escalates under regulatory pressure.

Why the market will care (eventually)

- **You are buying the balance sheet at a discount.** Net financial assets of ~RMB 257.5 billion exceed the entire market capitalization; strip out net cash and you pay ~4x trailing non-GAAP earnings for the operating company — the cheapest stub in Chinese large-cap tech.
- **The furnace is cooling.** New Businesses torched RMB 46.6 billion of operating losses in 2025, mostly food-delivery subsidies; the Q2 2026 loss narrowed sharply as regulators declared the delivery war should end. Loss normalization is the single biggest earnings lever.
- **Capital returns are the compounding engine.** \$3.0 billion of buybacks in 2025 (6.3% of shares) plus a \$1.00/ADS dividend, with \$1.4 billion remaining on the authorization — management is converting the cash pile into per-share value while the stock languishes.

2 Business Overview — What JD.com Is Doing

(Beijing, China; CEO Sandy Xu)

JD.com, founded by Richard Qiangdong Liu in 1998 (online since 2004; Nasdaq-listed 2014; Hong Kong secondary listing 9618 in 2020), is China's largest private enterprise by revenue and its second/third-largest e-commerce platform. The strategy that built JD — own the inventory, own the logistics — remains its defining difference versus asset-light marketplaces: JD operates ~3,600 warehouses and a self-built last-mile network covering nearly all of China's counties, which is why '211' same-/next-day delivery is a brand promise, not a slogan.

The core is the 1P retail business — JD buys inventory and sells it directly, guaranteeing authenticity — complemented by a third-party marketplace, and powered by JD Logistics, the integrated supply chain and fulfillment arm with the country's most extensive self-operated warehouse and delivery network. The group also includes JD Health and JD Industrials (listed December 2025). Revenue is diversified across electronics, home appliances, general merchandise, and fast-moving consumer goods, with a customer base of several hundred million annual active users skewed toward quality-conscious urban consumers — and quarterly and annual active customers both grew over 20% YoY in Q1 2026, to a record.

The business model differs fundamentally from marketplace peers: JD accepts lower gross margins on 1P sales in exchange for control over pricing, fulfillment speed, and authenticity, and monetizes the infrastructure through scale, advertising and logistics services sold to third parties. This capital intensity was long criticized; it is now the moat. Replicating JD's fulfillment density would require a competitor to spend tens of billions of yuan and a decade of operating losses — a check no rational entrant writes against an incumbent already earning returns on the installed base.

Segment	Q2'26 revenue (YoY)	Q2'26 operating income	What it does
JD Retail	RMB 295.4 bn (–4.7%)	RMB 13.5 bn (4.6% margin)	Core 1P direct sales + 3P marketplace; gross margin 18.5% (+1.3 ppt YoY)

Segment	Q2'26 revenue (YoY)	Q2'26 operating income	What it does
JD Logistics	RMB 64.1 bn (+24.3%)	RMB 2.3 bn non-GAAP (3.5%)	Integrated supply chain for 80k external customers; H1'26 adj. op. profit +39.9%
New Businesses	RMB 7.3 bn	RMB -9.9 bn (narrowing)	Food delivery, Jingxi, property, overseas — the 2025 furnace, now cooling

Q2 2026 per company press release (Aug 13, 2026). New Businesses revenue reflects the Q1'26 reclassification of on-demand delivery into Logistics.

What the company is doing now

- **The owned supply chain.** ~3,600 warehouses, self-operated last-mile, 90%+ of orders same-/next-day. A 20-year capex moat that cannot be replicated with subsidies.
- **Authenticity and big-ticket trust.** The 1P model makes JD the default for electronics, appliances, and luxury — appliance market share grew across all major categories in Q2'26.
- **The 3P/advertising mix shift.** Marketplace & marketing revenue +8.3% in Q2 — the highest-margin line, driving record 4.6–5.6% retail operating margins.
- **Logistics as a second engine.** 80,000 external supply-chain customers; automation (Super Brain LLM, robotics) is structural cost-down, widening the cost gap versus SF Holding and Cainiao.

3 Financial Analysis

RMB bn	2023	2024	2025	H1 2026
Revenue	1,084.7	1,158.8	1,309.1	662.1
YoY growth	+3.7%	+6.8%	+13.0%	+0.7%
Non-GAAP net income	35.2	47.8	27.0	16.3
Non-GAAP net margin	3.2%	4.1%	2.1%	2.5%
Free cash flow	40.7	43.7	6.5	—

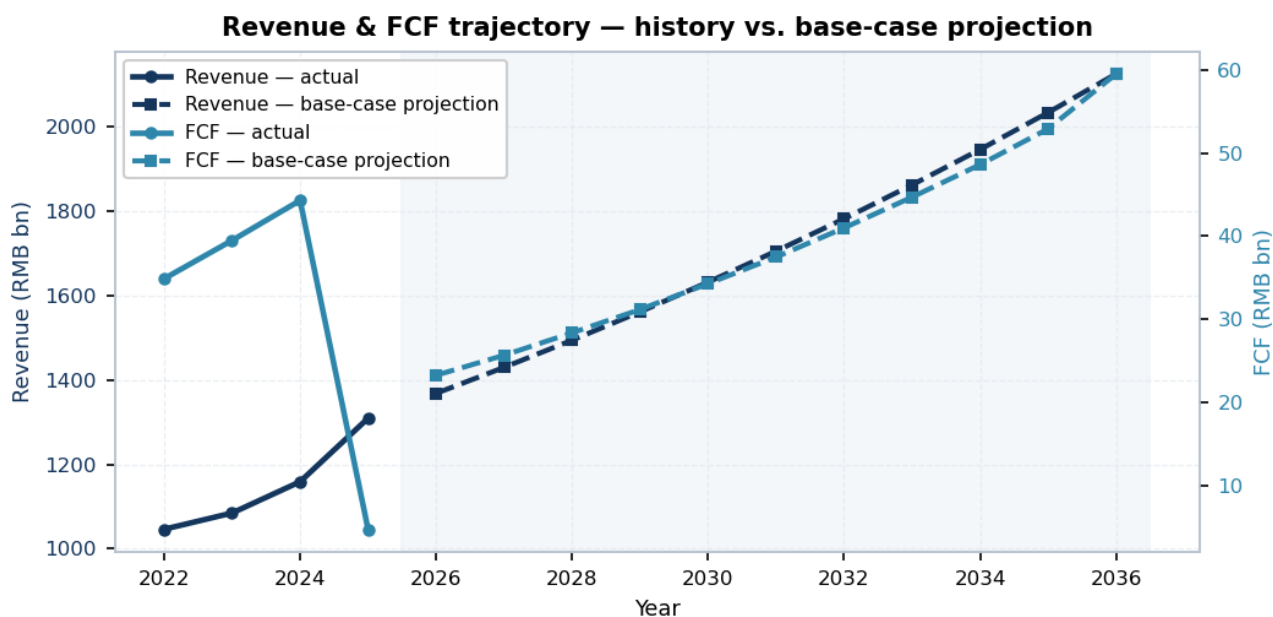
Sources: JD.com press releases (FY2025 Mar 5, 2026; Q2'26 Aug 13, 2026).

The P&L tells a J-curve story: 2025 was the investment year — revenue +13.0% to RMB 1,309.1 billion, but non-GAAP net income halved to RMB 27.0 billion and free cash flow collapsed to RMB 6.5 billion as food-delivery subsidies peaked. 2026 is the repair year: Q1 revenue +4.9% with a 41% EPS beat, and Q2 — despite the first revenue decline since listing (–2.9%, on the 2025 trade-in high base) — delivered a striking margin recovery, with operating income swinging to RMB 4.5 billion from a RMB 0.9 billion loss.

The fortress balance sheet: at June 30, 2026 JD held RMB 89.1 billion of cash, RMB 132.6 billion of short-term investments, RMB 58.0 billion of equity investees and RMB 38.4 billion of marketable securities — RMB 331.5 billion of financial assets against roughly RMB 74 billion of interest-bearing debt, for net financial assets of ~RMB 257.5 billion. Current ratio 1.14x; debt-to-equity 0.19x. On peers (Oct 2, 2026): Pinduoduo ~6.3x forward P/E, Alibaba ~11.7x,

Tencent ~11.9x, Meituan ~14.9x — JD at ~10.0x TTM / ~7.6x FY26E is the cheapest on an ex-cash basis (~4.0x).

Revenue & cash-flow trajectory

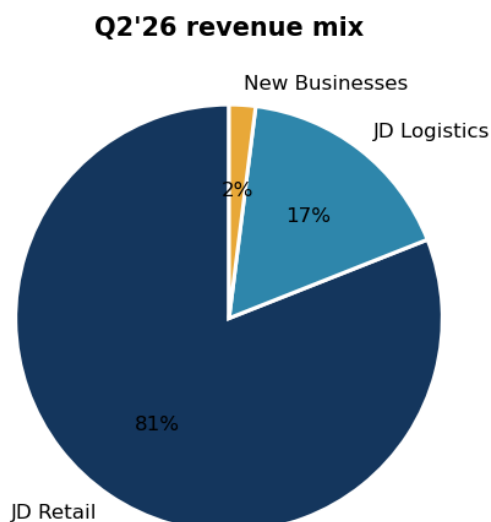


History: company filings (RMB bn). Projections: illustrative base-case paths — revenue at the 4.5% scenario CAGR; FCF margin recovering 1.7% → 2.8% as the delivery burn fades.

4 Moat & Competition

- **The owned supply chain.** ~3,600 warehouses and self-operated last-mile covering nearly all of China's counties — a 20-year capex moat that cannot be replicated with subsidies.
- **Authenticity as a business model.** The 1P model — JD takes title to the goods — makes it the default for big-ticket and luxury, where counterfeit concerns structurally favor the retailer that owns the inventory.
- **Logistics sold to third parties.** JD Logistics monetizes the network externally (80k customers, +24–26% growth), turning a cost center into a second engine with expanding margins.
- **The moat's tax is the burn.** New Businesses incinerated RMB 46.6 billion in 2025; the moat is real but management's willingness to spend the fortress balance sheet on subsidy wars is the recurring risk.

Q2'26 revenue mix



5 Valuation — 10-year scenario FCF DCF, Fair Value \$55

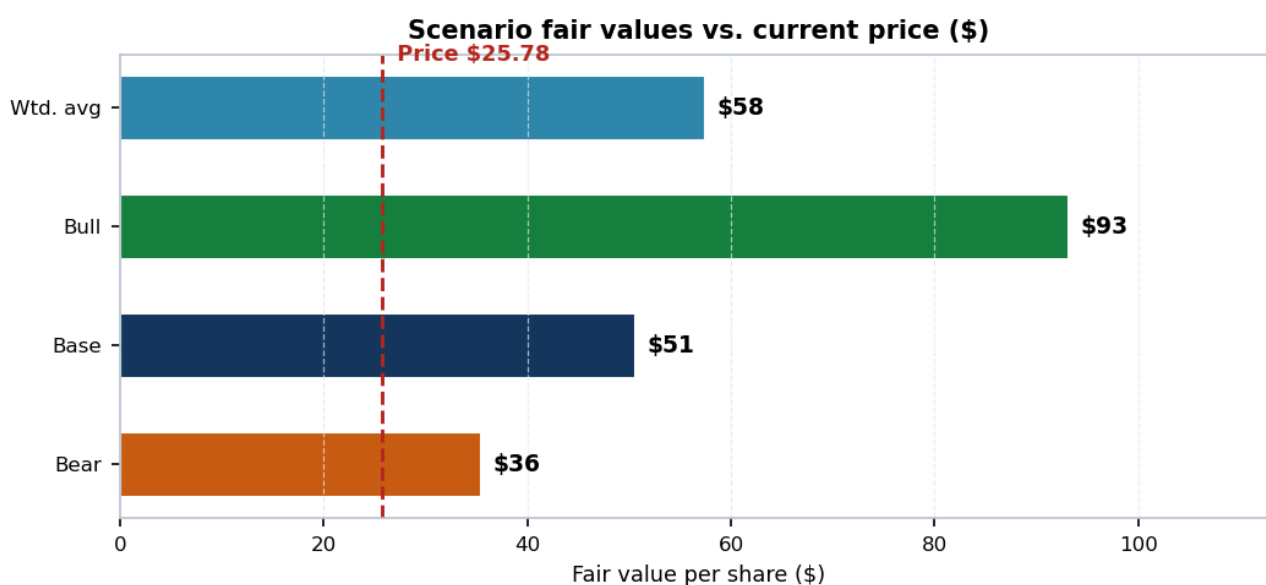
We value JD on a probability-weighted scenario DCF over a 10-year horizon, off TTM revenue of RMB 1,313.5 billion, with a 250bp China country-risk premium in the discount rate in all scenarios and benchmarking against regional peers facing similar risks. Discount rates: base 12.5% (10% standard plus the country premium, explicitly pricing VIE/regulatory/ADR risk on a net-cash structure), bear 15.0%, bull 11.0%. Terminal growth is capped at 2.5% on normalized mid-cycle margins. Net financial assets of RMB 257.5 billion are added to enterprise value; 1.248 billion ADSs; RMB/USD ~7.2. No input is taken from management guidance at face value — margin recovery paths are anchored to the pre-2025 (2023–2024) margin record, not to promises.

The bear case (\$35.50) assumes prolonged soft consumption, sustained competitive intensity from Pinduoduo and Alibaba, and a longer, costlier ramp in instant retail. The base case (\$50.67) assumes mid-single-digit revenue growth, stable 1P economics with gradual margin expansion from scale and advertising, and continued share repurchases. The bull case (\$93.16) assumes consumption normalization, successful scaling of instant retail into a profitable franchise, and a re-rating as the market recognizes the durability of the logistics moat.

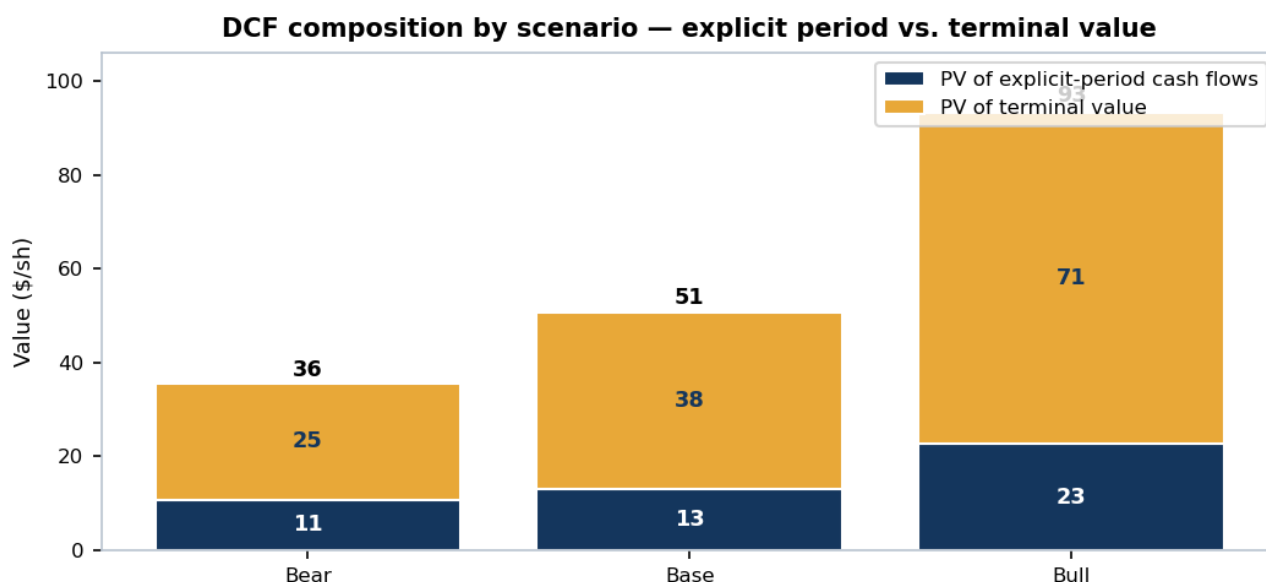
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Prolonged soft consumption; sustained competitive intensity; longer, costlier instant-retail ramp	+1.8%	−0.8%	15.0% / 2.5%	70%	\$35.50
Base	Mid-single-digit growth; stable 1P economics; gradual margin expansion; buybacks continue	+4.5%	2.8%	12.5% / 2.5%	75%	\$50.67
Bull	Consumption normalization; instant retail scales profitably; logistics moat re-rated	+6.2%	3.5%	11.0% / 2.5%	76%	\$93.16
Wtd. avg	Probability-weighted (25/50/25) → \$55.00 target					\$55.00

Probability-weighted fair value is \$57.50; our \$55.00 target applies a modest haircut to reflect the wide outcome range in Chinese equities. Terminal-year margins are FCF margins.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **New-business burn re-accelerates — the thesis risk.** If the delivery truce breaks and subsidies re-escalate — or Joybuy Europe (the €2.2 bn Ceconomy acquisition) becomes a second furnace — the cash pile stops compounding per-share value.
- **Chinese consumer weakness.** Retail sales posted their first monthly decline since the pandemic in May 2026; Q2's -2.9% revenue print shows JD is not immune.
- **Competitive re-escalation.** PDD, Alibaba, and Douyin are rational today; Chinese e-commerce has a long history of irrational tomorrows.
- **Regulatory & geopolitical.** SAMR fines are a recurring cost of doing business; VIE structure and delisting risk persist by statute; US tariffs raise import costs.
- **Capital-return reversal.** A buyback or dividend cut would signal that management itself expects the burn to persist — and remove the one mechanism converting cash into per-share value.

What would change our mind

Downgrade to HOLD if food-delivery losses re-accelerate (the subsidy truce breaks), Q3 shows JD Retail margins rolling over, or buybacks/dividends are cut. Two consecutive quarters of declining annual active users would indicate share loss beyond cyclical softness; sustained 1P gross-margin erosion not explained by deliberate price investment would signal structural pricing-power loss. Raise conviction if New Businesses reaches breakeven ahead of schedule, the buyback authorization is upsized, or Joybuy shows early traction.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.